

**BEFORE THE
NEW YORK STATE
PUBLIC SERVICE COMMISSION**

Proceeding on Motion of the Commission as to the Rates,
Charges, Rules and Regulations of Niagara Mohawk Power
Corporation d/b/a National Grid for Electric Service

Case 24-E-0322

Proceeding on Motion of the Commission as to the Rates,
Charges, Rules and Regulations of Niagara Mohawk Power
Corporation d/b/a National Grid for Gas Service

Case 24-G-0323

UTILITY INTERVENTION UNIT

**STATEMENT IN OPPOSITION
TO THE JOINT PROPOSAL**

Dated: May 14, 2025

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INTRODUCTION

The Utility Intervention Unit (“UIU”) is an office of the Division of Consumer Protection at the New York State Department of State, and has the statutory responsibility to represent the interests of customers in utility proceedings, with a particular focus on residential and small commercial customers.¹ UIU submits this Statement in Opposition to the joint proposal (the “Joint Proposal” or “JP”) that was filed with the New York State Public Service Commission (the “Commission” or “PSC”) by Niagara Mohawk Power Corporation (the “Company”) in the above-captioned proceedings on April 25, 2025, to establish a three-year electric rate plan and a gas rate plan to begin on April 1, 2025 and continue until March 31, 2028.

On May 28, 2024, the Company submitted rate filings to the Commission seeking revised rates for electricity and gas service in the Company’s service territory. A procedural and technical conference was held on June 25, 2024.² The New York Department of Public Service Staff (“DPS”) and intervenor testimony were scheduled for filing on September 26, 2024, with rebuttal testimony due on October 18, 2024.³ On September 26, 2024, UIU submitted testimonies on cost of service, revenue allocation, rate design, depreciation, and other finance-related matters. On October 18, 2024, UIU submitted rebuttal testimony on the issue of depreciation.

The Company filed a notice of impending settlement negotiations on October 21, 2024. An evidentiary hearing is scheduled for June 3, 2025. The Joint Proposal is the result of several months of negotiations among the parties, including UIU. The outcome of this case could shift significant cost and responsibility to mass market customers of the Company and—with respect to several of the Company’s proposals, including on depreciation—could disrupt the delicate balance among customer and shareholder interests that is necessary for establishing the just and reasonableness of rates, by shifting too much cost and risk onto ratepayers without sufficient evidence to justify doing so. By this Statement in Opposition, UIU recommends that the Commission reject the Joint Proposal that was submitted by the signatory parties, because it is not in the public interest.⁴ Alternatively, in the event the Commission decides to adopt the Joint Proposal, UIU urges the Commission to issue an order only if it incorporates the modifications and recommendations set forth herein.

STANDARD OF REVIEW

In 1992, the Commission adopted settlement procedures and guidelines (“Settlement Guidelines”), which establish the standard of review for the adoption of a joint proposal resulting from settlement negotiations.⁵ The standard of review is fundamentally grounded in the Commission’s responsibilities and duties to ensure safe and reliable service at just and reasonable

¹ Exec. L. § 94-a(4).

² Ruling Regarding Procedural and Technical Conferences (issued Jun. 5, 2024).

³ Procedural Ruling (issued Jul. 1, 2024).

⁴ Pursuant to the Company’s cover letter included with the filing of the Joint Proposal on April 25, 2025, the JP memorialized the settlement agreement among the following signatory parties (“Signatory Parties”): the Company, New York State Department of Public Service Staff (“DPS”), Multiple Intervenors, New York Solar Energy Industries Association, Turning Stone Enterprises, LLC, United States Department of Defense and all other Federal Executive Agencies, Walmart, Inc., Alliance for a Green Economy, New Yorkers for Clean Power, New York Geothermal Energy Organization, International Brotherhood of Electrical Workers Local Union No. 97, New York Power Authority, Independent Power Producers of New York, Fedrigoni Special Papers North America, Inc., and Empire Natural Gas Corporation.

⁵ Case 90-M-0255 *et al.*, Proceeding on Motion of the Commission Concerning its Procedures for Settlement and Stipulation Agreements . . . , *Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines: Opinion No. 92-2* (issued Mar. 24, 1992).

rates.⁶ As such, a Commission decision to approve a joint proposal “must be . . . just, reasonable, and in the public interest.”⁷ To be in the public interest, a joint proposal should be consistent “with the regulatory, economic, social, and environmental policies” of the State, mirror a “likely result of full litigation and is within the range of reasonable outcomes,” and balance the interests of ratepayers and the long-term financial viability of the utility.⁸ There must also be a rational basis for the Commission’s decision, which can be reflected in the development of a reasonably supportive record.⁹ In addition, the Commission will likely consider “the completeness of the record” and “whether the settlement is contested.”¹⁰

Further, it is settled that the Commission may “consider any factor and assign whatever weight it deems appropriate” when establishing utility rates.¹¹ Given this broad authority, and in order to protect the public interest, the Commission may choose to modify a settlement agreement.¹² Should the Commission choose to modify a settlement agreement, the Commission would also seek to preserve the parties’ opportunity to participate and present their positions on modified terms, either through remand, which may include re-negotiations or litigation, or, in the unlikely situation where remand is infeasible, through solicitation of comments.¹³

BACKGROUND

UIU submits this statement in opposition to the Joint Proposal, which establishes unlevelized and levelized rate increases for electric and gas as follows:

<i>Electric</i>	RY1	RY2	RY3	Total/ Compounded
Levelized rate increase (\$M)	\$ 167.3	\$ 297.4	\$ 243.4	\$ 708.1
Levelized delivery % increase	6.40%	10.90%	8.20%	27.67%
Unlevelized rate increase (\$M)	\$ 288.4	\$ 141.7	\$ 194.8	\$ 624.9
Unlevelized delivery % increase	10.90%	4.90%	6.50%	23.90%

<i>Gas</i>	RY1	RY2	RY3	Total/ Compounded
Levelized rate increase (\$M)	\$ 57.4	\$ 64.5	\$ 71.8	\$ 193.7
Levelized delivery % increase	10.80%	10.80%	10.80%	36.03%
Unlevelized rate increase (\$M)	\$ 91.1	\$ 31.1	\$ 38.6	\$ 160.8
Unlevelized delivery % increase	16.90%	4.90%	5.70%	29.62%

The requested electric and gas rate increases set forth above, on a levelized basis, amount to \$708.1 million and \$193.1 million, respectively. These proposed levelized increases do, to some extent,

⁶ Pub. Serv. L. § 65(1).

⁷ Settlement Guidelines, at 30.

⁸ *Id.* at 30.

⁹ *Id.*

¹⁰ *Id.*

¹¹ Case 15-E-0283 et al. Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Electric Service, *Order Approving Electric and Gas Rate Plans In Accord With The Joint Proposal* (issued Jun. 15, 2016), at 10 (citing *Abrams v. Pub. Serv. Comm’n*, 67 N.Y.2d 205, 212 (1986)).

¹² Settlement Guidelines, at 24–25.

¹³ *Id.* at 25.

mitigate the increases in the first rate year under the proposed rate plan (“RY1”); however, as the table above indicates, customers in New York will nonetheless pay more over the three-year term of the rate plan because of levelized increases than they would because of unlevelized increases. Moreover, levelized or unlevelized, the proposed compounded increase in rates over three years is simply untenable. Indeed, the amount of the compounded increase is much more alarming when viewed from a customer perspective, as the UIU will demonstrate below.

DISCUSSION

I. THE PROPOSED REVENUE REQUIREMENTS ARE EXCESSIVE AND NOT IN THE PUBLIC INTEREST

UIU opposes the revenue requirements agreed upon by the Signatory Parties as the Joint Proposal results in rate increases that are neither just, reasonable, nor in the public interest.

For electric, the combination of the high proposed revenue requirement and rate compression, coupled with the revenue allocation approach proposed by the Signatory Parties, likely exasperates the financial impacts of the majority of the Company’s mass market electric consumers over the term of the rate plan. Our overall concerns are reflected in the bill impacts shown in JP Appendix 2, Schedule 4.1 to 4.3. With respect to gas, UIU also has concerns with the revenue requirement proposal and its impact on consumers as shown in JP Appendix 3, Schedule 4.1 to 4.3. These concerns are further demonstrated by the following tables, which UIU created to summarize the impact on the customer charge and volumetric component of rates for both electric and gas customers. The tables are prepared for both the residential and small commercial classes and provide a comparison based on an assumed level of usage:

	Electric	Current rates	RY3 rates	% increase in rates	Average consumption levels (kWh)	% increase in rates at average levels
SC1	Customer charge	\$ 17.33	\$ 19.00	9.64%	625	37.43%
	per kWh	\$ 0.07576	\$ 0.11182	47.60%	625	
SC2ND	Customer charge	\$ 21.02	\$ 25.00	18.93%	1000	44.90%
	per kWh	\$ 0.08685	\$ 0.13130	51.18%	1000	

Source: Appendix 2, Schedule 3C and Schedule 3E

	Gas	Current rates	RY3 rates	% increase in rates	Average consumption levels (therm)	% increase in rates at average levels
SC1	Customer charge	\$ 21.40	\$ 23.75	10.98%	80	40.55%
	Block 2	\$ 0.71722	\$ 1.10810	54.50%	80	
	Block 3	\$ 0.15553	\$ 0.27284	75.43%	80	
SC2	Customer charge	\$ 26.00	\$ 28.60	10.00%	350	40.64%
	Block 2	\$ 0.42349	\$ 0.61892	46.15%	350	
	Block 3	\$ 0.25520	\$ 0.38035	49.04%	350	
	Block 4	\$ 0.09107	\$ 0.21002	130.61%	350	

Source: Appendix 3, Schedule 4.1 and Schedule 4.3

These rate increases shown in the above tables are patently unfair to customers, particularly as they are based on an unreasonable and unsustainable level of capital spending proposed by the Company, one that is exacerbated by excessively high returns and other unreasonable costs. The UIU will address each of the unreasonable items included in the revenue requirement below to demonstrate why the Joint Proposal must be rejected. Additionally, UIU will discuss several recommendations for modifying the Joint Proposal in the event the Commission decides to issue an order adopting it.

A. The Commission should reject the proposed approach to cost classification and direct further future study into a reasonable level of classification that reflects cost causation.

UIU, in direct testimony, highlighted its concerns with the Company's ECOS studies and explained why its recommended approach is more reasonable and should be used when determining revenue allocation and rate design.¹⁴ For electric, UIU noted that the Company's minimum system construct fails to produce a system that services only to connect customers; and in fact, satisfies multiple customer classes' entire electric peak demands creating a flawed representation of the theoretical "customer-portion" of the system.¹⁵ For gas, UIU compared and contrasted some of the differences in the construct of the Company's minimum system studies, such as how the Company does not correct for load-carrying capacity of its gas minimum system as it has done in previous cases and has done in this case for electric – illustrating a somewhat arbitrary construct of the classification of costs.¹⁶ UIU further highlighted that the Company's use of a minimum system in its ECOS is unsound for the purposes of determining cost causation and

¹⁴ See Direct Testimony of UIU Rate Panel.

¹⁵ See Direct Testimony of UIU Rate Panel, at 13.

¹⁶ *Id.* at 14-15.

significantly impacts the calculation of the relative rate of returns.¹⁷

UIU also noted that the Company's approach in these cases is not consistent with National Grid's approach in Massachusetts.¹⁸ UIU questions why an approach in a neighboring state is not consistent with the methodology relied upon in New York and further questions why the Company has historically defended testimony contrary to its position in these cases¹⁹

UIU incorporated its preferred ECOS to guide the revenue allocation process given that the UIU's preferred approach is well-supported by economic theory and power system engineering, is a better starting point for revenue allocation purposes, and has been relied upon by utilities in numerous states across the country.²⁰ An alternative hybrid classification approach was also offered by UIU as a more appropriate method than the minimum system approach relied upon by the Company to align system costs.²¹ In rebuttal testimony, the Company did not agree with UIU's recommendation pertaining to the classification of distribution accounts, as it is not in line with the Company's definition of costs in these cases.²² However, UIU notes herein that the Company's proposal in these cases is inconsistent with its proposal in Massachusetts.²³ And furthermore highlights that other states have rejected the minimum system approach or relied on the 100% demand (basic customer) methodology.²⁴ UIU continues to support movement away from the Company's electric and gas minimum system approaches to better reflect cost causation and encourages the Commission to further investigate this issue. The proposed revenue allocation process set forth in the Joint Proposal factors in rate compression along with levelization to smooth out year over year bill impacts.

In consideration of the foregoing, the Commission should refrain from adopting the Joint Proposal's proposed ECOS methodology for revenue allocation purposes. Additionally, UIU recommends that the Commission direct further future study into a reasonable level of classification that reflects cost causation.

B. The Commission should reject the proposed return on equity of 9.50% and instead direct the use of a return on equity of 8.50%.

Appendix 1, Schedule 1 of the Joint Proposal recommends a 9.50% Return on Equity ("ROE"). UIU urges the Commission to reject this ROE, because the ROE is excessive, does not

¹⁷ *Id.* at 25.

¹⁸ See Exhibit NG-PP-1 in 6 D.P.U. 23-150, at 18 (stating "the Company has not performed a minimum system study in its last four distribution rate cases, or more, and...did not perform a minimum system study for this ACOSS").

¹⁹ See UIU Rate Panel, at 12, which points to Case 10-E-0050, Rebuttal Testimony of the Rate Design, Customer and Markets Panel, at 9-10.

²⁰ See Direct Testimony of UIU Rate Panel at 8 and 17-18. Also see discussion pertaining to UIU's recommended revenue allocation approach (including preferred approach) on pp. 25-27 (electric) and 27-28 (gas). See also Exhibit___(URP-5) and Exhibit___(URP-6).

²¹ See *id.* at 25-27 (electric) and 28-29 (gas) for discussion on UIU's revenue allocation approach (including alternative approach). See also Exhibits___(URP-5) and Exhibit___(URP-6).

²² See Rebuttal Testimony of the Company's Electric Rate Design, at 17-18.

²³ See page 17 Direct Testimony of UIU Rate Panel which notes in lines 5-9: "National Grid in Massachusetts, does not use a minimum system study for classification (See Exhibit NG-PP-1 in 6 D.P.U. 23-150, at 18, stating "the Company has not performed a minimum system study in its last four distribution rate cases, or more, and...did not perform a minimum system study for this ACOSS")."

²⁴ See pages 17-18 of the Direct Testimony of UIU Rate Panel and Exhibit___(URP-7). Also noting on page 17, "Not only has the basic customer method been used by utilities in numerous states, in some cases public utility commissions have explicitly rejected the minimum system method or otherwise required that utilities classify primary and secondary distribution costs as 100% demand related."

comply with the fair return standard, and is not in the public interest.

The Company's original proposal was for a ROE of 10.0%, based on a Discounted Cash Flow ("DCF") Model, Capital Asset Pricing Model ("CAPM"), and other models.²⁵ While the ROE included in the Joint Proposal of 9.50% is lower than the originally proposed ROE in the Company evidence of 10.00%,²⁶ it remains unjust and unreasonable.

As explained in the testimony of Mr. David Garrett on behalf of the UIU, a "utility's awarded ROE should be based on an objective estimate of its market-based cost of equity."²⁷ Mr. Garrett completed a comprehensive assessment of the ROE and calculated his own CAPM and DCF model estimates and determined a reasonable range of ROE as being between 7.9% to 8.8%.²⁸

The proposed ROE of 9.50% is materially and inexplicably higher than the objective estimate prepared by Mr. Garrett. UIU supports an ROE of 8.5%, within the range of reasonable ROE's based on Mr. Garrett's testimony.

The UIU acknowledges that this proposed level of 8.5% may be lower than other recent settlements. However, it is important to consider all aspects of the settlement in determining a just and reasonable rate of return. Layering a higher ROE onto already high revenues, particularly when a higher ROE is not supported by objective evidence, is not in the public interest.

UIU also observes that a ROE of 8.5% is close to the ROE approved by the Public Utility Regulatory Authority ("PURA") for Connecticut United Illuminating Company of 8.63% (9.10% before reductions).²⁹ Approving a materially higher ROE for the Company when the PURA approves a materially lower ROE for a utility with comparable business risk is not in the public interest.

Accordingly, the UIU requests that the Commission direct the Joint Proposal be revised to reflect the ROE proposed by UIU. If the Commission should decide to not accept UIU's proposed ROE, UIU considers an ROE of 9.0%, which is slightly above the higher end of Mr. Garrett's proposed range would show movement toward a justified ROE.

C. The Commission should reject the proposed inclusion of only 30% of the negative pension and other post-employment benefit cost inclusion in the revenue requirement proposal and, instead, direct the use of a 100% inclusion of the negative expense.

Appendix 5, Schedule 3 of the Joint Proposal recommends a pension and other post-employment benefit ("OPEB") negative expense of \$32.3 million in RY1, \$33.1 million in RY2 and \$25.1 million in RY3. The inclusion of only 30% of the negative expense results in an arbitrary and unjust level of pension and Other Post-Employment Benefits ("OPEB") expense being included in rates.

²⁵ See Direct Testimony of Joshua C. Nowak at 4 and 5.

²⁶ See Direct Testimony of Joshua C. Nowak at 5.

²⁷ See Direct Testimony of David Garrett, at 3.

²⁸ See Direct Testimony of David Garrett, at 3.

²⁹[https://www.dpuc.state.ct.us/dockcurr.nsf/4b3c728dd1c0d642852586db0069aa70/dd7c1a0c81056b1485258a16004f1d22/\\$FILE/220808-082523.pdf](https://www.dpuc.state.ct.us/dockcurr.nsf/4b3c728dd1c0d642852586db0069aa70/dd7c1a0c81056b1485258a16004f1d22/$FILE/220808-082523.pdf)

As explained by Mr. Dustin Madsen on behalf of UIU, the Generally Accepted Accounting Principles and OPEB pension expenses are equal over time, whether the fully deferred or cash-based method of collection is used.³⁰ The approach recommended in the Joint Proposal is a half-measure approach that reflects neither the cash nor the accrual method of accounting for these costs, but rather something in between.

Furthermore, the arbitrary reduction of the negative expense harms customers by not fully accounting for all changes in the pension and OPEB expenses in the rate years. Customers have paid for the fully accrued expense in prior years and should receive the benefit of any overage in future rate years. To do otherwise treats customers unfairly while also not accounting for the historical impact of changing the method of collecting pension and OPEB costs. The UIU notes that by not considering the transitional impact of changing the method of collecting pension and OPEB costs, it is entirely possible that customers will not receive the full benefits of the pension and OPEB expense offsets over time in rates and thus will contribute more than is required towards the pension and OPEB plans. For example, assume that under the previous accrual-based rate inclusion, customers paid \$1 billion in rates towards pension and OPEB costs since the beginning of the plans. Now assume that under the newly proposed approach of only including 30%, customers should have only paid \$500 million historically. By failing to consider this difference, the newly established approach to collecting pension and OPEB costs will ultimately seek to recover this historical difference in future rates despite that amount already having been collected in rates from customers. This result is patently unfair to customers.

The Company's testimony also alleges concerns regarding credit metric impacts, which is presumably a reason for the reduced negative inclusion in rates. However, the evidence provided by the Company in this regard is weak and does not support a reduction in the inclusion.³¹ Unsubstantiated speculation on what may or may not happen due to a change in the inclusion rate of pension and OPEB costs is inappropriate and risks causing customers undue hardship for no good reason, particularly when there is no compelling evidence of a real risk of downgrade in the Company's credit rating.

If the Commission were to adopt the Company's proposal, it would shift too much cost and risk onto ratepayers without sufficient evidence to justify doing so. Accordingly, UIU recommends that the Commission direct the full inclusion of all negative pension and OPEB in rates for all rate years. Alternatively, UIU recommends that the Commission direct the Company to calculate the transitional impact of changing its proposed method of collecting pension and OPEB costs on a retroactive basis to ensure that customers remain whole and fund only the reasonably necessary amount of pension and OPEB costs over the term of the rate plan.

D. The Commission should reject the proposed depreciation expense, and in particular the proposed lives and net salvage rates for gas, and, instead, direct the use of the gas lives and gas net salvage rates included in Appendix A.

Appendix 1, Schedule 3 and 4 of the Joint Proposal outlines the proposed electric, common,

³⁰ See Direct Testimony of Dustin Madsen, at 38 to 45 (discussion under "PENSION AND OPEB" section).

³¹ See Direct Testimony of the Capital Structure Panel, at 15: "In particular, the Commission's determination concerning components of the rate case that have direct cash impacts, such as depreciation, ROE, and deferral cost recovery mechanisms for Storms, Site Investigation and Remediation, Pension/OPEB, and Property Taxes will be important factors to ensure the Company has sufficient cash flow to support its credit ratings. In addition, the Revenue Adjustment Mechanism ("RAM"), as proposed in the direct testimony of the Rate Design Panel will provide greater cost recovery certainty and reduce the risk to cash flow recovery and subsequently the potential for a downgrade."

and gas depreciation rates by asset class. When these depreciation rates are considered in the context of the \$4.6 billion and \$1.0 billion of electric and gas direct capital expenditures as shown in Appendix 1, Schedule 5, the result is depreciation rates that are increasing at an unsustainable rate due to new investment at the same time as there is an acceleration in the recovery of both the new and historical investment.

In addition to being excessive, UIU points out that the applied for depreciation rates in the Joint Proposal are much higher than the historically approved rates.³² UIU is alarmed at the significant proposed increases in the gas rates to be payable by ratepayers given the Company's statements that the Company's gas infrastructure will continue to be used/repurposed in the long-term.³³ These statements directly conflict with the Company's proposal to shorten average service lives, and the proposals to materially increase net salvage rates. The net salvage rates proposed by the Company are generally increasing, in some cases significantly. This proposed approach presumes that there will be increased interim retirements in the future, which is impractical and should be rejected for all the reasons stated in the testimony of Mr. William Dunkel on behalf of UIU.³⁴ The UIU submits that either the gas distribution system will be retired mostly in situ at the end of its life, or it will not be retired at all. The Joint Proposal ignores this dynamic, which is necessary for establishing just and reasonable rates. UIU objects to the Company's depreciation proposal, because the Company has not met its burden of proof, and the resulting increase would result in unjust and unreasonable rates. Therefore, the Commission must reject the depreciation proposal set forth in the Joint Proposal.

In testimony, the Company's expert witness on depreciation stated that the Company's proposed changes to the gas system depreciation structure were largely based on the requirements under the Climate Leadership and Community Protection Act ("CLCPA"). There are no specific requirements of the National Grid gas system in the CLCPA. There is also not a requirement in the CLCPA to remove pipe if the assets are no longer going to be utilized.

Accordingly, UIU recommends that the Commission reject the requested depreciation proposal because the underlying data and assumptions are speculative and the Company has, therefore, not met its burden of proof on this issue. Additionally, UIU urges the Commission to 1) approve UIU's recommended average service lives and net salvage rates as set out in UIU's testimony and 2) direct the Company to utilize those recommended rates in relation to the final approved level of capital as determined by the Commission.

E. UIU recommends that the Commission reject the proposed direct capital expenditures as set out in Appendix 1, Schedule 5 of the Joint Proposal and, instead, recommends that the Commission approve only a single year of capital that is consistent with FY25 levels. Alternatively, UIU recommends the Commission approve no increase in capital expenditures relative to FY25 spending levels for electric and a 10% reduction to the proposed spending levels for gas.

³² See Exhibit__ (NWA-2G) and (NWA-2E).

³³ Pursuant to Exhibit NYCP-Nimo-C attached to the testimony submitted in these proceedings by Anshul Gupta on behalf of New Yorkers for Clean Power, on November 26, 2024, a representative of the Company made the following assertion to the Traffic, Transportation, and Public Service Committee of Staten Island's Community Board 2 (SI CB-2): "The gas system can be repurposed to deliver CLEAN alternative fuels, such as renewable natural gas and hydrogen."

³⁴ See Direct Testimony of William W. Dunkel.

Appendix 1, Schedule 5 of the Joint Proposal outlines the proposed electric, common, and gas capital expenditures and cost of removal. UIU argues that the proposed \$5.1 billion and \$1.4 billion of electric and gas direct capital expenditures as shown in Appendix 1, Schedule 5, is unsustainable and does not imply any reasonable degree of project prioritization or staging given historical spending levels. As further explained below, these already high levels are before consideration of many other electric and gas capital costs that are likely to be incurred by the Company in the rate years and ultimately paid for by customers.

The following tables were prepared based on the DPS testimony included in Exhibit__ (SEIOP-2) to (SEIOP-4) and Exhibit__ (SNPGIOP-3), as well as the information provided in the Joint Proposal at Appendix 1, Schedule 5:

Electric (\$000s)	FY25	FY26	FY27	FY28	TOTAL
Staff testimony proposed	\$ 922,696	\$ 984,487	\$ 1,055,609	\$ 1,142,114	\$ 4,104,906
JP recommended	\$ 1,099,769	\$ 1,259,661	\$ 1,343,251	\$ 1,351,841	\$ 5,054,522

Gas (\$000s)	FY25	FY26	FY27	FY28	TOTAL
Staff testimony proposed	\$ 386,608	\$ 318,696	\$ 358,675	\$ 277,675	\$ 1,341,654
JP recommended	\$ 392,512	\$ 325,217	\$ 361,128	\$ 282,742	\$ 1,361,599

The FY25 \$922,696,000 DPS testimonial proposal is already significantly higher than the approved FY25 budget of \$895 million that was settled on in the 2020 rate plan in Case 20-E-0380. The Joint Proposal reflects a proposed increase of \$200 million to the approved FY25 spend.

As shown above, the Joint Proposal agrees to an increase in total capital expenditures for FY25 through FY28 for electric and gas of \$949 million and \$20 million, respectively, well above the levels recommended by DPS in their testimony.³⁵

UIU notes that these amounts exclude CLCPA expenditures pursuant to Appendix 1, Schedule 5a, which are likely to be collected from the customers of the Company through commodity costs and are over and above the expenditures outlined above. This makes the accumulation of mid-year rate base unsustainable for customers, which is reflected in the rate increases experienced by customers as outlined above. The table below illustrates the combined impact of the Joint Proposal proposed capital and the CLCPA Phase 2 capital, which in combination is unreasonable:

Electric (\$000s)	FY25	FY26	FY27	FY28	TOTAL
JP recommended	\$ 1,099,769	\$ 1,259,661	\$ 1,343,251	\$ 1,351,841	\$ 5,054,522
CLCPA Phase 2 (sched 5a)	\$ 368,162	\$ 369,580	\$ 569,480	\$ 467,234	\$ 1,774,456
Combined	\$ 1,467,931	\$ 1,629,241	\$ 1,912,731	\$ 1,819,075	\$ 6,828,978

Additionally, UIU points out that the forecast capital for 2025, including CLCPA Phase 2 expenditures, is \$572.9 million higher than the previously approved budget of \$895 million in Case 20-E-0380, which further confirms the unreasonable nature of the forecast capital, all of which will ultimately be payable by customers.

³⁵ See for FY25 Exhibit SEIOP-2 \$320,177,000 (for electric transmission capital investments) + Exhibit SEIOP-3 \$37,248,000 (for sub-transmission capital investments) + Exhibit SEIOP-4 \$565,271,000 (for distribution capital investments).

Finally, on the gas side, UIU notes that the Joint Proposal represents under sections 7.2 and 7.3 that the Company has excluded from the revenue requirement proposal the costs of \$297.4 million and \$348.3 associated with the replacement of Pipeline (“PL”) PL-16 project and PL-E18 project, respectively. Instead, the Joint Proposal is proposing to implement a surcharge mechanism – the PRP Surcharge – that will enable the Company to collect from ratepayers the costs which the Company may incur during the rate plan if such investments are placed into service. UIU objects to the capital costs associated with these projects and the creation of a surcharge mechanism to collect them, because they shift additional cost and risk onto ratepayers.

In summary, the combination of all electric and gas capital spending forecast by the Company and agreed to in the Joint Proposal is unsustainable and will lead to rates that are unjust and unreasonable if those levels are approved. For these reasons, UIU recommends that the Commission direct the Company to reduce the requested electric and gas capital expenditures by the amount originally proposed by DPS in its testimony. This revised level, while still high, should provide the Company an achievable and thus reasonable level of capital to manage.

CONCLUSION

For the aforementioned reasons, UIU opposes the Joint Proposal and urges the Commission to reject it. Alternatively, UIU recommends that the Joint Proposal be modified to align with the UIU’s recommendations set forth above.

Respectfully submitted,

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